IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH (COURT – II)

IN

Company Application No. – C.A.(CAA) – 68 of 2024

IN THE MATTER OF SCHEME OF ARRANGEMENT FOR AMALGAMATION

SG PREFAB & ENGINEERING PRIVATE LIMITED

Having its Registered Office at
H. no. 37, Ground Floor Hargovind Enclave,
Delhi, India, 110092

...Transferor/Applicant Company 1

AND

S GUPTA HOMES PRIVATE LIMITED
Having its Registered Office at
37 HARGOBIND ENCLAVE VIKAS MARG,
Delhi, India, 110090

...Transferee/ Applicant Company II

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order delivered on: 03.09.2024

UNDER SECTION: 230-232 of Companies Act, 2013 r/w Rule 3 and 5 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

CORAM:

SH. ASHOK KUMAR BHARDWAJ, MEMBER (J)

SH. SUBRATA KUMAR DASH, MEMBER (T)

PRESENT:

For the Applicant : Adv. S. Shiva, Adv. Suman Kumar Jha, and Adv. Rishabh Singh

ORDER

The present application has been preferred jointly by **SG PREFAB & ENGINEERING PRIVATE LIMITED** (hereinafter referred to as "Applicant/Transferor Company") and **S GUPTA HOMES PRIVATE LIMITED** (hereinafter referred to as "Applicant/Transferee Company") seeking the following reliefs: -

i. *To allow the present application;*
ii. *To pass directions for dispensation of the meeting of the Equity Shareholders of the Transferor Company I Applicant Company 1;*
iii. *To pass directions for dispensation of the meeting of the Secured Creditors of the Transferor Company I Applicant Company 1;*
iv. *To pass directions for dispensation of the meeting of the Unsecured Creditors of the Transferor Company I Applicant Company 1;*
v. *To pass directions for dispensation of the meeting of the Equity Shareholders of the Transferee Company I Applicant Company 2;*
vi. *To pass directions for dispensation of the meeting of the Secured Creditors of the Transferee Company I Applicant Company 2;*
vii. *To pass directions for dispensation of the meeting of the Unsecured Creditors of the Transferee Company I Applicant Company 2;*
viii. *To pass such other and further Orders as this Hon'ble Tribunal may deem fit in the facts and circumstances of the case.*

2. The Applicant Companies are as follows:

2.1 **SG PREFAB & ENGINEERING PRIVATE LIMITED** having CIN U27109DL2021PTC377932, is a private limited company, incorporated on 04.03.2021 under the Companies Act, 2013. The Registered Office of the Transferor/ Applicant Company No. 1 is situated at H. no. 37, Ground Floor Hargovind Enclave, Delhi, India, 110092. The Authorized Share Capital of the Company is Rs. 1,00,000/- and its Paid-up Share Capital is Rs. 1,00,000/-.

2.2 **S GUPTA HOMES PRIVATE LIMITED** having CIN U70200DL2011PTC226493, is a private limited company, incorporated on 19.10.2011 under the Companies Act, 1956. The Registered office of Transferee/ Applicant Company No. 2 is situated at 37 HARGOBIND ENCLAVE VIKAS MARG, Delhi, India, 110090. The Authorized Share Capital of the Company is Rs. 25,01,00,000/- and its Paid-up Share Capital is Rs. 25,01,00,000/-.

3. The present Application has been preferred by the 'Transferor Company' and 'Transferee Company' (hereinafter referred to as the **'Applicant Companies')**. The Registered Offices of both the Applicant Companies being in Delhi, they are falling under the territorial jurisdiction of this Bench.

4. As far as the present application is concerned, it is seen from the record that the Board of Directors of the Transferor Company and the Transferee Company vide their meetings held on 30.03.2024 have approved the proposed 'Scheme of Arrangement for Amalgamation'. Copies of Resolution of the Board of Directors of Applicant Companies are found on record at Annexure A-2 and A-9 respectively.

5. The Appointed Date of the Scheme is 01.04.2024 as defined in Clause 1.3 of the Scheme of Arrangement for Amalgamation.

6. The rationale of the proposed Scheme of Arrangement, as espoused by the Applicants read thus:

"1. Under this Scheme, the Amalgamation of the Transferor Company into the Transferee Company would enable the Transferee Company

to consolidate all the business activities pertaining to the Transferor Company into one single entity. Further, the management of the Transferee Company would be strengthened as the management of the Transferor Company and the Transferee Company would be clubbed into the Transferee Company, which would thereby ensure effective management of the affairs of the Transferor Company and Transferee Company subsequent to their amalgamation. The said amalgamation would also result in streamlining the structure, especially by combining both into one single entity and would provide several benefits such as easing the regulatory, statutory, and compliance requirements of both the companies and would also work to the advantage of the shareholders of the Companies as the said amalgamation would result in rationalizing the costs/expenses incurred

2. The amalgamation will contribute in furthering and fulfilling the objectives and business strategies of both the companies, thereby accelerating the growth, expansion, and development of the respective businesses through the Transferee Company. The amalgamation will thus enable further expansion of the Transferee Company and provide a strong and focused base to undertake the business more advantageously. Further, this arrangement would bring concentrated management focus, integration, streamlining of the management structure, and seamless implementation of policy changes, and shall also help to enhance the efficiency and control of the Transferor Company and Transferee Company.

3. Further, the independent operations of the Transferor Company and Transferee Company leads to incurrence of significant costs, duplication of administrative and establishment costs, and the amalgamation would enable economies of scale by attaining critical mass and achieving cost saving and better financial management of resources. The amalgamation will thus eliminate a multi-layered structure and reduce managerial overlaps, which are necessarily involved in running multiple entities and also prevent cost duplication that can erode the financial efficiencies of a holding structure, and the resultant operations would be substantially cost-efficient. This Scheme would result in a simplified corporate structure ofthe Transferee Company and its businesses, thereby leading to more efficient utilization of capital and the creation of a consolidated base for the future growth of the Transferee Company.

4. The Amalgamation of Transferor Company and Transferee Company will create synergy benefits for the stakeholders of both companies, and it shall optimize the valuation of the consolidated

Transferee Company. Amalgamation would also increase operational efficiency and integrate business functions.

5. The proposed arrangement will provide greater integration and flexibility to the Transferee Company and strengthen its position in the industry in terms of the asset base/ revenues/ and service range.

6. The other benefits of the proposed amalgamation include:

i. Optimum and efficient utilization of financial resources and rationalization of
capital/ resources/ assets/ and facilities;

ii. Enhancement of competitive strengths/ including financial resources;

iii. Obtaining synergy benefits;

iv. Better management and focus on growing the businesses;

v. Reduction of overheads/ administrative/ managerial/ and other expenditure;

vi. Simplify the shareholding structure and reduce shareholding tiers."

7. The Applicant Companies have furnished the following documents: -

i. Proposed Scheme of Arrangement (Annexure A-1 of the Application).

ii. Copy of Master Data, Memorandum and Articles of Association of Transferor and Transferee Company (Annexures A-3 and A-10 respectively of the Application).

iii. List of Equity Shareholders of Transferor Company as on 31.03.2024, along with Consent Affidavits (Annexure A-4 of the application).

iv. List of 'NIL' Secured Creditors of Transferor Company as on 31.03.2024 duly certified by Chartered Accountant (Annexure A-6 of the application).

v. List of Unsecured Creditors of Transferor Company as on 31.03.2024 duly certified by Chartered Accountant, along with Consent Affidavits (Annexure A-7 of the application).

vi. List of Equity Shareholders of Transferee Company as on 31.03.2024, along with Consent Affidavits (Annexure A-11 of the application).

vii. List of Secured Creditors of Transferee Company as on 31.03.2024 duly certified by Chartered Accountant, along with Consent Affidavits (Annexure A-13 of the application).

viii. List of Unsecured Creditors of Transferee Company as on 31.03.2024 duly certified by Chartered Accountant, along with Consent Affidavits (Annexure A-14 of the application).

ix. Certificates of Statutory Auditors to the effect that Accounting treatment proposed in the Scheme conforms with Section 133 of the Companies Act, 2013 (Annexure A-17 of the application).

x. Equity Share Exchange Ratio pursuant to the proposed Scheme of Arrangement for Amalgamation among SG Prefab & Engineering Private limited ("Transferor Company"/"SGPEPL") with S Gupta Homes Private Limited ("Transferee Company"/ "SGHPL") by Corporate Professionals Valuation Services Private Limited, IBBI Registered Valuer, attached as Annexure-16 of the application.

xi. Audited Financial Statement for the Financial Year ended on 31.03.2023 and Unaudited Financial Statement as on 31.12.2023 have been annexed and marked as Annexure A-8 and A-15 respectively.

xii. Copy of the Competition Commission of India (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011 and Affidavit of the respective Applicant Companies regarding the applicable sectoral regulators annexed and marked as Annexure A-19.

8. It is further submitted by the counsel for Applicant Companies that as per the Valuation Report dated 29.03.2024 submitted by Corporate Professionals Valuation Services Private Limited, Registered Valuer, IBBI Registration No. IBBI/RV-E/02/2019/106 attached as Annexure A-16 of the Application, the Share Swap Ratio is as under: -

CALCULATION OF EXCHANGE RATIO		
Company Name	SG Prefab & Engineering Private Ltd. (Transferor)	S Gupta Homes Private Limited (Transferee)
Equity Value (INR Million)	2,241.56	1,235.25
Equity Value Per Share (INR)	224,155.90	49.39
Exchange Ratio	1.00	4,538.00
Exchange Ratio For 100 Shares	100	453,800.00

"S Gupta Homes Private Limited" (Transferee Company) shall issue and allot 4,538 (round off) Equity Shares of Face Value of INR 10/- (INR each to Equity Shareholders of "SG Prefab & Engineering Private Limited" (Transferor Company) for every Equity Share of Face Value of INR 10/- (INR Te each held by them in the Transferor Company.

9. It is contended by the learned counsel that the Scheme (Annexure A-1) also takes care of the interests of the staff/workers and employees of the Applicant Companies. By Clause 6 of the Scheme, it is stated that upon the Scheme coming into effect, all persons that were employed by the Transferor Company immediately before such date shall become employees of the Transferee Company with the benefit of continuity of service on the same terms and conditions as were applicable to such employees in the Transferor Company immediately prior to such transfer and without any break or interruption of service.

10. The Applicants have stated on Affidavit annexed as Annexure A-18 to the application that no investigation or proceedings are pending against the Applicant Companies under any law for the time being in force.

11. The status of Equity Shareholders, Secured and Unsecured Creditors, as also their Consent through Affidavits qua both the Applicant Companies as espoused in the Application filed by the Applicants can be summarized as under:

Name of the Applicant Companies	Shareholders along with their consent				Creditors along with their consents					
	Equity Shareholder (A)	Consent of (A) with calculations	Preference Shareholders (B)	Consent of (B) with calculations	Debenture Holders (C)	Consent of (C) with calculations	Secured Creditors (D)	Consent of (D) with calculations	Unsecured Creditors (E)	Consent of (E) with calculations
Applicant Company No.1	7 (Seven) [Annexure A-4 (Colly.) at Pg. No. 94 of Vol. I of Application]	All *(holding 100% of the total paid-up equity share capital)* [Annexure A-4 (Colly.) Pg. No. 95-115 of Vol. I of Application]	NIL	N.A.	NIL	N.A.	NIL [Annexure A-6 at Pg. No. 94 of Vol. I of Application]	N.A.	2 (Two) [Annexure A-7 (Colly.) at Pg. No. 118-119 of Vol. I of Application]	1 *(holding 99.99% of the total value of the unsecured creditors)* [Annexure A-7 (Colly.) Pg. No. 121-124 of Vol. I of Application]
Applicant Company No.2	6 (Six) [Annexure A-11 (Colly.) at Pg. No. 184 of Vol. II of Application]	All *(holding 100% of the total paid-up equity share capital)* [Annexure A-11 (Colly.) Pg. No. 185-202 of Vol. II of Application]	NIL	N.A.	NIL	N.A.	2 (Two) [Annexure A-13 (Colly.) at Pg. No. 204-206 of Vol. II of Application]	All *(holding 100% of the total value of the secured creditors)* [Annexure A-13 (Colly.) at Pg. No. 207-230 of Vol. II of Application]	4 (Four) [Annexure A-14 (Colly.) at Pg. No. 231-233 of Vol. II of Application]	1 *(holding 98.79% of the total value of the unsecured creditors)* [Annexure A-14 (Colly.) at Pg. No. 234-236 of Vol. II of Application]

12. Accordingly, the directions of this Bench in the present case are as under: -

12.1 All the shareholders of the Transferor Company and Transferee Company have given 'No Objection' to the Scheme on their respective affidavit. Therefore, the requirement of convening the Meetings of Shareholders in respect of the Transferor Companies and Transferee Company is dispensed with.

12.2 As evident from the application, there are 'NIL' Secured Creditors in the Transferor Company and therefore, the need to convene their meeting does not arise.

12.3 Further, more than 90% in value of Secured Creditors of the Transferee Company have given their consents on respective affidavits, therefore, their meetings are dispensed with.

12.4 Furthermore, more than 90% in value of the Unsecured creditors of the Transferor Company and the Transferee Company have given their consents on affidavits, therefore, their meetings are also dispensed with.

13. So far as serving a notice to the various authorities, Section – 230(5) read with Section – 230(3) of Companies Act, 2013 provides for issuance of notice in case a meeting is convened. However, all the meetings are dispensed in terms of Section – 230(9) of Companies Act, 2013. Hence, there is no requirement of issuing notice to the sectoral regulators at this stage.

14. With the aforesaid directions, C.A.(CAA)-68(ND)/2024 stand disposed of.

Sd/-
(SUBRATA KUMAR DASH)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)